required. Post 2025, we need to get them to commit to multiple times the amount. The most conservative annual figure for climate action is around $2.5 trillion and we need to recognise this challenge. The heavy lifting of finance is still coming from the public sector. The assets from states have to be transferred into investable funds. For that, we are creating a pipeline of projects to benefit from this kind of interest of the financial sector, to be presented at COP27.

Q. So you believe that private investment must help fill the gap?

A. Yes, but we are not asking for charity. We are after the golden rule—that there is risk, there is cost and there is decent return. Solar, wind and green hydrogen has great interest for the business community, including in India. We will share some ideas about debt reduction mechanisms, including a new generation of debts for climate swaps that will allow opportunities for investment based on the Nationally Determined Commitments. In India, I held discussions related to the creation of carbon credit markets.

Q. How have Covid and the Ukraine war affected climate change goals?

A. Covid has been a huge setback for all sustainable development goals by impacting investment and human capital in sectors like health and education. It affected poverty alleviation measures. The Ukraine war compounded the crisis. Morally speaking, the war should end. Its impact has seen countries fall back upon old means of energy, especially coal. But it has also helped diversify energy sources through investments in wind power, solar energy and green hydrogen.

Q. What are you going to champion in COP27?

A. Developing countries expect us to deliver on climate action regarding mitigation, adaptation, damage and finance, but at the same time putting in a framework to deal with unemployment. For the first time since 1998, based on UN figures, we have numbers of the extremely poor increasing. So, we will not welcome climate action that will compromise the labour market or add to the numbers of the poor. We have the technological solutions and the means of production to pursue a high, inclusive growth that would create more job opportunities. For this. we need partnerships and coordination of our efforts. ■

E-RUPEE

The Official Crypto

By M.G. Arun

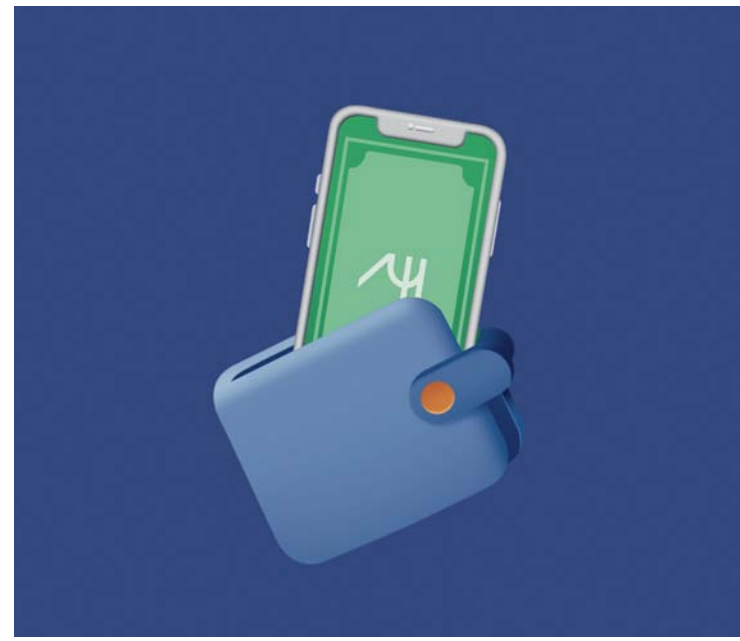


Illustration by SIDDHANT JUMDE

The Reserve Bank of India (RBI) has drawn up its plans to launch a Central Bank Digital Currency (CBDC) or a digital version of the rupee, which was in the works for almost a year. The apex bank has floated a concept note on the CBDC examining its implications on the banking system, monetary policy and financial stability. It will soon start pilot launches of the digital rupee for specific use cases. The e-rupee will be released in two forms: wholesale for inter-bank settlements and retail for the public. Commercial banks can distribute the currency further. One has to hold it in an e-wallet provided by a bank or a registered service provider.

'The CBDC, being a sovereign currency, holds unique advantages of central bank money viz. trust, safety, liquidity, settlement finality and integrity,' the RBI said, adding that the key motivation for exploring the digital rupee was the reduction in operational costs involved in physical cash management, fostering financial inclusion, bringing resilience, efficiency, innovation in the payments system, and so on. The use of offline features in the CBDC will also be useful in remote locations and offer availability and resilience benefits when electricity or a mobile network is not available.

One has to hold the digital currency in an e-wallet provided by a bank or a registered service provider

The e-rupee has a unique feature: it can be 'programmed' by tying up the end use in specific ways. For example, agriculture credit by banks can be programmed